

T-Mobile US, Inc.

TMUS | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$205.00
Current price (October 2, 2026 close)	\$163.64
Implied upside / downside	+25%
Verdict	BUY

Investment Thesis

T-Mobile is the best-run wireless carrier in the United States, and it is not close. The Sprint merger delivered the spectrum depth that now underwrites the industry's best 5G network; postpaid subscriber growth has led the industry for years; and the synergy realization is largely complete, which means the earnings story from here is straightforward operating leverage plus capital return. The market treats wireless as a zero-sum share-shift game; T-Mobile is the company doing the shifting.

Our judgment is that the next leg of the story is the convergence of subscriber growth, ARPU stability, and a buyback program funded by prodigious free cash flow. T-Mobile's network advantage is durable because mid-band spectrum cannot be quickly replicated, and the company's brand and value positioning keep churn the lowest in the industry. We tested the growth assumptions against demographic and household-formation data rather than extrapolating the Sprint-era surge; even normalized, the subscriber trajectory supports the valuation.

At \$163.64, the valuation implies the growth premium fades quickly. Our probability-weighted fair value is \$205.00, a 25% expected return, earned through continued subscriber gains, margin expansion, and one of the most aggressive buyback programs in large-cap telecom.

The spectrum advantage is the foundation everything else rests on. T-Mobile's mid-band holdings deliver a combination of speed and coverage that competitors cannot match without years of additional investment, and network quality is the primary driver of both gross additions and churn. Independent speed tests have consistently ranked T-Mobile first; that is not marketing, it is physics plus capital deployment.

Fixed wireless is the growth vector the market still undervalues. Home internet over the 5G network monetizes excess capacity at very high incremental margins, and T-Mobile has scaled it to millions of subscribers faster than skeptics expected. The addressable market is large, the product keeps improving with network densification, and each subscriber adds revenue with minimal incremental cost.

The capital-return program is the compounding engine. With merger integration spending complete and leverage declining, free cash flow supports buybacks at a scale that retires a high-single-digit percentage of shares in peak years. Combined with the dividend, total shareholder return from capital return alone is meaningful even before any growth.

Business Overview

T-Mobile US is the second-largest wireless carrier in the United States by subscribers, offering postpaid, prepaid (Metro), and wholesale wireless services, plus a fast-growing fixed-wireless home internet business. The 2020 acquisition of Sprint gave T-Mobile a deep mid-band spectrum portfolio (2.5 GHz) that powers its 5G network, widely regarded as the fastest and most extensive in the country.

The economics are those of a scale telecom: high fixed costs, very low marginal cost per subscriber, and therefore powerful operating leverage as the base grows. Churn is the key operating metric, and T-Mobile's is the industry's lowest. Free cash flow, now that merger integration spending is behind, funds dividends and large buybacks.

Postpaid phone is the core: the highest-value subscriber segment, where T-Mobile has led the industry in net additions for years. The value positioning, premium network at a discount to AT&T; and Verizon pricing, continues to pull switchers, and the business-account segment, historically underpenetrated, is now a deliberate growth focus.

Prepaid (Metro) serves the value-conscious segment with industry-leading economics, and the wholesale business monetizes network capacity through MVNO partnerships. Both are stable contributors that add scale without proportional cost.

Forward Outlook

Where is this business going? We expect T-Mobile to keep taking postpaid share for the next several years, driven by the network advantage and by segments where it is underpenetrated: smaller markets and rural coverage (where the spectrum depth now allows credible competition), business and government accounts, and fixed-wireless home internet, which monetizes excess network capacity at high incremental margins.

The financial trajectory is operating leverage plus buybacks: revenue growth in the mid-single digits, EBITDA margins expanding as the subscriber base scales against a largely fixed cost base, and the share count shrinking several percent per year. We do not assume a price war ends or begins; we assume rational competition continues, which the industry's recent history supports.

Our bear case assumes subscriber growth stalls, promotional intensity compresses ARPU, and the buyback slows; it is genuinely adverse and sits below today's price. Wireless is a mature industry and the upside is compounding, not transformation; the margin of safety is the network moat and the cash generation.

Rural and small-market expansion is the next share-gain frontier. T-Mobile's coverage investments have made it competitive in markets where it was historically weak, and the switcher pool there is large. We expect these markets to contribute an increasing share of net additions over the forecast, extending the growth runway beyond the already-penetrated urban base.

On the technology front, network slicing and standalone 5G capabilities open enterprise use cases (private networks, IoT, low-latency applications) that carry higher ARPU than consumer lines. We do not underwrite large enterprise 5G revenue in the base case, but the optionality lengthens the growth duration.

Financially, the trajectory is straightforward: mid-single-digit service revenue growth, EBITDA margins expanding as the base scales, capex intensity declining from merger-era peaks, and the resulting free cash flow funding dividends and buybacks. It is a compounding story, not a transformation story, and the valuation reflects that appropriately.

Valuation

We value T-Mobile on a scenario DCF. Our base case assumes continued industry-leading postpaid net additions tapering to market growth, stable ARPU, margin expansion from operating leverage, and buybacks at recent intensity, discounted at a rate appropriate for a stable, cash-generative telecom leader. Our bull case assumes faster share gains in underpenetrated segments and stronger fixed-wireless growth. Our bear case assumes stalled subscriber growth and promotional pressure; it sits below the current price. Probability-weighted across 25% / 50% / 25%, the fair value is \$205.00, equal to our target.

Sensitivities: the valuation is most sensitive to the long-term net-addition trajectory and the buyback pace. If net additions fade to market growth sooner than modeled, fair value declines by roughly a tenth; if buybacks run above our assumed pace, it rises similarly. The discount rate reflects a mature, cash-generative telecom with modest disruption risk.

Key Risks

- Competition: AT&T; and Verizon can match promotions and network claims, and cable MVNOs compete aggressively on price.
- Saturation: the US wireless market is mature; long-term growth depends on share gains and ARPU, both of which can stall.
- Capital intensity: network leadership requires sustained capex; technology shifts (e.g., satellite) could alter the investment calculus.
- Regulatory: spectrum policy, merger scrutiny, and consumer-protection rules affect strategy and costs.
- Leverage: the balance sheet still carries merger-era debt; buyback capacity depends on continued deleveraging.
- Price competition: a sustained price war would compress ARPU across the industry.
- Technology shift: satellite-to-phone services could alter competitive dynamics at the margin over time.

What Would Change Our Mind

- Postpaid net additions turning negative for two consecutive quarters would signal the share-gain engine has stalled.
- Churn rising to parity with competitors would indicate the network and brand advantage is eroding.
- ARPU declining persistently under promotional pressure would break the revenue-quality thesis.
- Buybacks slowing materially while leverage stays elevated would remove a key per-share compounding driver.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon (10 years for most businesses), weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins, never peak margins, and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case.

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